However, as the invested portion started rising on account of various factors, it started becoming difficult for the government to honour its promise.

The penny dropped in 1893. The government decided to close the mints to free coinage of silver. People could no longer bring any bullion to mint it into silver coins. Likewise, there was no more conversion of paper rupees into silver coins.

India decided to go off the metal standard. This heralded the end of the first-generation currency in India.

Second Generation of Rupee is Essentially Fiat Money

India started on the second generation of money—token currency—in 1893. Silver coins continued to be minted in India even after 1893. However, the proportion of paper currency kept increasing. The invested portion of the Paper Currency Reserve, which was fixed at Rs 2 crore in 1961, was raised gradually to Rs 120 crore in 1920. The absolute maximum limit of the invested portion was indirectly done away with in 1920 by prescribing that the metal portion of the Reserve would not be less than a proportion of the total reserves.

Minting of silver coins was gradually reduced. Paper currency became the main currency in circulation. In 1940, the silver content in the silver rupee coin was reduced to half the full weight of the coin, i.e., ninety grains. Finally, in June 1947, minting of silver coins was totally stopped. From then on, paper currency has been the exclusive currency of India.

The minimum metal portion of currency reserves was abolished at some stage. There is no requirement of minimum gold or silver to be kept as part of the reserves. At the end of December 2020, currency notes of about Rs 27.5 lakh crore were in circulation in India. The value of gold with RBI was less than Rs 2.7 lakh crore.